

Zimnat

associated with  **Sanlam** group

GENERAL
INSURANCE

Zimnat Lion Insurance Company Limited trading as Zimnat General Insurance

Assets All Risks Policy

ASSETS ALL RISKS POLICY
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POLICY OF INSURANCE

In consideration of the Insured having actually paid the premium for the period of insurance, ZIMNAT LION Insurance Company Limited (hereinafter referred to as "the Insurers") will indemnify or compensate the Insured against loss or damage as described herein which exceeds any deductible shown herein up to the Limit of Liability as stated in the Schedule hereto.

Any statements made by or on behalf of the Insured and any documents submitted to the Insurers for the purpose of assessing the risk shall form the basis of the insurance provided by this policy.

Provided always that the due observance of the General and Specific Exceptions and Conditions shall be a condition precedent to the liability of the Insurers.

If any Specific Exceptions or Specific Conditions are at variance in any way with the General Exceptions or General Conditions the former shall take precedence over the latter.

Premium Payment Warranty

It is warranted that it is a condition precedent of this insurance that before cover commences, the premium shall have actually been received by the insurer. In the event that premium has not been received by the insurer prior to the commencement of this insurance the policy shall be invalid ab initio.

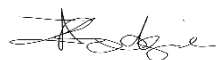
If the premium is received by the insurer after the commencement date of this insurance, then subject to acceptance by the insurer, cover will be reinstated effective from the date that the premium is actually received by the insurer.

It is further hereby expressly warranted by all the parties to this insurance contract that:

1. The insurance broker or multiple agent shall at all times act as the agent of the insured.
2. Payment of premiums by the insured to such agent shall not in any way whatsoever be deemed or implied to be actual receipt of such premiums by the insurer.
3. The onus is on the insured to ensure that premium is actually received by the insurer prior to commencement of the cover.

Signed in HARARE. for and on behalf of the Insurers on this 10TH. . . day of November. 2017.

ZIMNAT LION INSURANCE CO. LTD
P.O. BOX CY 1155, CAUSEWAY
HARARE



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Authorised Representative

Property Insured

All Tangible Property in Zimbabwe owned, leased, held in trust or on commission for which the Insured are legally responsible including employees personal effects if insured but **excluding**

- (a) Property more specifically insured.
- (b) Property insured or insurable under a Marine Policy or Policies
- (c) Property in the course of construction, alteration or dismantling exceeding a value of 5% of Limit of Liability under Property Damage Section or whilst the responsibility of a contractor
- (d) Property in the possession of customers under rental agreements or hire purchase credit or other suspense sale agreements
- (e) Property originating from or with a destination outside Zimbabwe, which is the subject of an Air Waybill Railway Consignment Note or Road Waybill or any other contract of carriage
- (f) Bullion, precious and semi-precious stones.
- (g) Railway locomotives and rolling stock watercraft and aircraft or property contained therein which forms part of such conveyance.
- (h) Mechanically propelled vehicles including tractors, **fork lifts** and mobile plant.
- (i) Growing timber, growing crops, explosives, land (including topsoil backfill drainage or culvert) driveways, pavements, roads, runways railway lines, dams, reservoirs, **tanks**, canals, weirs, wells, bore-holes, pipelines, tunnels, bridges, docks, piers, jetties, wharves, greenhouses, wooden fences, wooden or inferior constructed structures and property in the underground workings of any mine.

DEFINITIONS

1. Physical Loss and/or Damage

The term Physical loss and or damage shall mean physical loss, destruction of or damage

2. Deductible

The term deductible refers to the amount to be borne by the Insured in respect of each and every event or occurrence.

3. Insurers Limits of Liability

The Insurers shall not be liable in respect of any loss or series of losses arising out of one event giving rise to a claim under this policy for more than the amounts shown in the schedule under the heading Limit of Liability

4. Basis of Valuation

The value of the property insured hereby shall be arrived at in accordance with Clause 2 of Section A.

SECTION A - PROPERTY DAMAGE

This section covers physical loss of/or damage to the property insured by any of the defined events specified in the sub-sections below and in the event of such physical loss of/or damage occurring the Insurers shall indemnify or compensate the Insured by payment or at their option repairing or replacing the damaged property.

DEFINED EVENTS

1. FIRE AND LIGHTNING

The Insurers will indemnify the Insured under Section A1 in respect of physical loss of/or damage to the property insured occasioned by fire or lightning.

2. EXPLOSION

The Insurers will indemnify the Insured under Section A2 in respect of physical loss of/or damage by fire or otherwise of or to the property insured directly caused by explosion not being in connection with an occurrence mentioned in General Exception 1.

3. EARTHQUAKE

The Insurers will indemnify the Insured under Section A3 in respect of physical loss of/or damage by fire or otherwise of or to the property insured directly caused by earthquake excluding any loss or damage to any property in the under-ground workings of any mine or loss or damage arising directly or indirectly from any mining operations.

4. NON-POLITICAL RIOT, STRIKE AND MALICIOUS DAMAGE

The words riot and strike are hereby deleted from General Exception number 1(a).

The Insurers will indemnify the Insured under Section A4 against physical loss of/or damage to the property insured directly related to or caused by or arising from one or more of the following **occurrences**:

(a) Riot and strike

- (i) the act of any person taking part together with others in any disturbance of the public peace (whether in connection with a labour disturbance, strike or lock-out or not) not being an occurrence mentioned in General Exception 1;
- (ii) the wilful act of any striker or locked-out worker done in furtherance of a strike or in resistance to a lockout;
- (iii) the act of any lawfully established authority in controlling, preventing, suppressing or in any other way dealing with any occurrence referred to in clauses (i) or (ii) above.

(b) Malicious Act

the malicious act of any person (whether or not such act is committed in the course of a disturbance of the public peace) not being an act amounting to or committed in connection with an occurrence mentioned in General Exception 1 hereof but the Insurers shall not be liable under this extension for any loss or damage by fire or explosion nor for any loss or damage arising out of or in the course of burglary housebreaking theft or larceny or any attempt thereat or caused by any person taking part therein.

SPECIFIC EXCEPTIONS

This defined event does not cover

- 1. Loss of earnings, loss by delay, loss of market or other consequential or indirect loss or damage of any kind or description whatsoever.

2. Loss or damage resulting from total or partial cessation of work or the retardation or interruption or cessation of any process or operations.

5. SPECIAL PERILS

The Insurers will indemnify the Insured under Section A5 in respect of physical loss of/or damage to the property insured directly caused by:

- A. storm, tempest
- B. rain, hail or snow
- C. bursting or overflowing of guttering, down pipes or water supply systems
- D. aircraft and other aerial devices or articles dropped there from
- E. impact or collision by road vehicles, railway rolling stock or animals
- F. flood including inundation or leakage of water from whatsoever cause
- G. falling trees. except when they are being felled by the insured

Provided that the Insurers shall not be liable under this section for destruction or damage to the property insured

- (a) arising out of any process necessarily involving the application of water
- (b) in the open (other than buildings structures and plant designed to exist or operate in the open) or in any structure not completely walled and roofed.
- (c) caused by tidal wave originating from earthquake or volcanic eruption
- (d) in the underground workings of any mine
- (e) in any structure not completely roofed
- (f) being retaining walls

6. FERMENTATION NATURAL HEATING DRYING AND SPONTANEOUS COMBUSTION

The Insurers will indemnify the Insured under Section A6 in respect of physical loss of/or damage to the property insured caused by its own spontaneous fermentation, heating or combustion.

7. THEFT

The Insurers will indemnify the Insured under Section A7 in respect of physical loss of/or any damage as a consequence of

7.1 Theft or any attempt thereat

- (a) resulting from forcible or violent entry or exit to or from any completely enclosed and securely locked buildings on the premises
- (b) following assault or violence or threat thereof to the Insured or any employee of the Insured
- (c) following the use of skeleton or duplicate keys by persons not employed by the Insured provided that evidence in the form of a conviction or other proof is given to and accepted by the Insurers.

The Insurers will in addition indemnify the Insured for

7.2 The necessary cost of replacing locks and keys pertaining to the premises following loss of such keys without the deduction of any excess.

Provided that the Insurers shall not be liable under this section for any loss, which may be insured or insurable under any other section of this policy.

8. MONEY

The Insurers will indemnify the Insured under Section A8 in respect of **physical loss or damage** to money which for the purposes of this policy shall mean current coinage and bank notes and all other negotiable instruments such as but not limited to cheques, postal orders, postage stamps, revenue stamps, bills of exchange and promissory notes

Excluding

- (a) loss arising from theft or any attempt thereat from any unattended vehicle or conveyance.
- (b) loss occasioned by or arising out of misappropriation of money by any person or by any person in the employment of that person to whom the money has been entrusted either for safekeeping or investment or for any other lawful purpose whatsoever.

9. TRANSIT

The Insurers will indemnify the Insured under Section A9 in respect of physical loss of/or damage to the property insured whilst in transit anywhere in Zimbabwe including whilst in temporary storage during the course of such transit.

Excluding

- (a) theft of property from open motor vehicles
- (b) theft by or in collusion with any employee
- (c) theft of property whilst in or on a motor vehicle which has been left unattended
- (d) loss or damage due to -
 - (i) inherent defect, defective packing or hooks
 - (ii) weather or atmospheric conditions to property conveyed in open vehicles unless all reasonable precautions are taken for its protection
 - (iii) denting, scratching, chipping and cracking unless caused by an insured peril.

10. GLASS

The Insurers will indemnify the Insured under Section A10 in respect of physical loss, damage or breakage of any external or internal glass including damage to frames, displays, lettering, alarms and the like including the cost of removal and reinstallation of fixtures and fittings necessary for the replacement of the glass.

Excluding

- (a) Glass that was cracked at the commencement of the insurance
- (b) Breakage caused by or resulting from alterations or additions to any premises containing the glass

11. PERSONAL EFFECTS OF EMPLOYEES

The Insurers will indemnify the Insured under Section A11 in respect of physical loss of/or damage to the personal effects of employees which for the purposes of this policy shall mean personal belongings such as but not limited to money clothing tools and jewellery of the Insured's employees or directors or of members of their families whilst

- (a) at any business premises of the Insured
- (b) anywhere in the world while any employee or director or member of their family is travelling on the business of the Insured.

Excluding however loss from any unattended motor vehicle unless the property is locked in the boot of such motor vehicle

12. ALL RISKS

The Insurers will indemnify the Insured under Section A12 in respect of all risks of physical loss of/or damage to the property specified in the schedule of limits of liability and deductibles excluding physical loss of/or damage due to or caused by or resulting from -

- (a) loss or damage by theft or any attempt thereat from any unattended vehicle or conveyance unless the property is contained in the locked boot of such vehicle or conveyance.
- (b) theft by or in collusion with any employee.

13. ANY OTHER LOSS

The Insurers will indemnify the Insured under Section A13 in respect of physical loss of/or damage to the property insured by causes other than those specifically covered or insurable under any other section or sub-section of this policy or specifically excluded under any other section or sub-section of this policy or by the Specific or General Exceptions and Conditions.

EXTENSIONS TO SECTION A

NON-POLITICAL RIOT AND STRIKE

The words riot and strike are hereby deleted from General Exception number 1(a).

The Insurers will indemnify the Insured under Sections 8 (Money), 9 (Transit), 10 (Glass), 11 (Personal Effects of Employees) and 12 (All Risks) against physical loss of or damage to the property insured directly related to or caused by or arising from one or more of the following **occurrences**:

Riot and strike

- (i) the act of any person taking part together with others in any disturbance of the public peace (whether in connection with a labour disturbance, strike or lock-out or not) not being an occurrence mentioned in General Exception 1;

- (ii) the wilful act of any striker or locked-out worker done in furtherance of a strike or in resistance to a lockout;
- (iii) the act of any lawfully established authority in controlling, preventing, suppressing or in any other way dealing with any occurrence referred to in clauses (i) or (ii) above.

INFLATION PROVISION

If an inflation value is shown in the schedule of limits of liability and deductibles then this section extends to include inflation as defined below

The Insured has elected to include an inflation provision in terms of this section to the policy, which represents the Insured's estimate of the inflation over the policy period or such other period as noted in the schedule of limits of liability and deductibles. It is further agreed that this inflation value together with the insured value shall be the maximum amount recoverable by the Insured in the event of any physical loss of/or damage to the property insured.

CLAUSES APPLICABLE TO SECTION A

1. MORTGAGEES

Insurers shall accept the interest of mortgagees and others with an insurable interest and further the General Conditions do not apply to any act of a mortgagor provided that:

- (i) the act occurs without the knowledge or privity of the Mortgagee
- (ii) the Mortgagee advises the Insurers as soon as he becomes aware of the act and the Insured pays any additional premium that may be required.

2. REPLACEMENT OR REINSTATEMENT VALUE CLAUSE

2.1 In the event of the property insured (excluding stocks) under this policy being physically lost **or** damaged the basis upon which the amount payable under the section is to be calculated shall be the cost of replacing or reinstating on the same site property of the same kind or type but not superior to or more extensive than the insured property when new subject to the following special provisions and subject also to the terms and conditions of the policy except insofar as the same may be varied hereby.

2.2 SPECIAL PROVISIONS

- (i) The work of replacement or reinstatement (which may be carried out upon another site and in any manner suitable to the requirements of the Insured subject to the liability of the Insurers not being thereby increased) must be commenced and carried out with reasonable despatch and in any case must be completed within twelve months after the destruction or damage or within such further time as the Insurers may during the said twelve months in writing allow, otherwise no payment beyond the amount which would have been payable under the policy if this clause had not been incorporated therein shall be made.
- (ii) Until expenditure has been incurred by the Insured in replacing or reinstating the property physically lost or damaged the Insurers shall not be liable for any payment in excess of the amount which would have been payable under the policy if this clause had not been incorporated therein.
- (iii) This clause shall be without force or effect if:
 - (a) the Insured fails to intimate to the Insurers within 30 days from the date of physical loss or damage or such further time as the Insurers may in writing allow their intention to replace or reinstate the property physically lost or damaged
 - (b) the Insured is unable or unwilling to replace or reinstate the property physically lost or damaged on the same or another site.
- (iv) In the event of physical loss or damage, the maximum liability of the insurers in respect of the property to which this clause applies shall not exceed the limits of liability stated in the schedule of this policy.

2.3 BASIS OF INDEMNITY – SPECIFIC ITEMS

In the event of loss of or damage to property such as Personal Computers including Laptops and Notebooks, Cellular Phones, Tools, Electronic Equipment and Clothing and Personal Effects the basis of indemnity shall be the market value of such property at the time of the loss or event. In the absence of an open market value the method used to establish the market value shall be the new replacement cost less an acceptable level of depreciation for wear and tear.

3. ADDITIONAL COSTS

The Insurers agree to pay any of the following costs reasonably and necessarily incurred following loss or damage by a Defined Event provided that the limits of liability stated in the schedule are not exceeded:

- (a) Costs incurred due to the necessity to comply with building or other regulations under or framed in pursuance of any Act of Parliament or Ordinance of any Provincial Municipal or other Local Authority in repairing or reinstating the property insured provided that such costs do not include:
 - (i) anything for which notice had already been served on the Insured prior to the occurrence of loss or damage
 - (ii) anything connected with undamaged property or undamaged portions of property except to the extent that such property has by law to be altered due to loss or damage which is the subject of a claim hereunder
 - (iii) rates, taxes, duties, development or other charges payable due to capital appreciation of the property insured.
- (b) Fees for the examination of municipal or other plans.
- (c) Costs incurred in the necessary demolition removal of debris and/or undamaged contents and the execution and maintenance of hoardings during demolition or rebuilding.
- (d) Architects, quantity, surveyors, consulting engineers fees and all other professional fees.
- (e) Charges levied by any authorised fire brigade for protecting or attempting to protect the property insured or costs of recharging or replacing extinguishers used in extinguishing or attempting to extinguish a fire.
- (f) Statutory duties and levies actually paid or incurred as a result of loss destruction of or damage to or replacement of the property insured.
- (g) Costs necessarily incurred by the Insured to protect any property insured that is damaged by an insured peril from further loss or damage by an insured peril until the damage can be made good.
- (h) Costs and expenses incurred in producing and certifying any particulars or details required by the Insurers under the terms of Condition 4 of this policy.

But the Insurers shall not be liable under a), b), d) or g) unless the physically lost or damaged property insured is repaired or reinstated and such work is carried out within a reasonable period of time.

4. CAPITAL ADDITIONS CLAUSE

The insurance hereby extends to cover alterations additions and improvements (but not appreciation in value in excess of the insured value) to property specified herein (other than stocks) for an amount not exceeding ten per cent of the total of the insured value and the Inflation Provision value. It being understood that the insured undertakes to advise the Insurers each quarter of such alterations additions and improvements and to pay the appropriate additional premium thereon.

5. TENANTS CLAUSE

Should a tenant of the Insured (where the Insured own the building) or another tenant or the owner of the building (where the Insured are tenants of the building) do or omit to do without the knowledge or consent of the Insured anything which would vitiate the within policy exceptions conditions and/or warranties this policy will not be held to be void on that account provided that the Insured notify to the Insurers the happening or existence of such act or omission as soon as the same shall come to their knowledge and shall on reasonable demand pay the additional charge for any increase of hazard thereby created for the time such increased hazard may be or shall have been assumed by the Insurers during the continuance of this insurance.

6. DESTRUCTION OF SALVAGE CLAUSE

The Insured shall have the right to destroy or remove any means of identification from any salvage following consultation with the Insurers without diminution of the Insurer's liability if in their opinion

the sale or transfer of such salvage will prejudice their business. The Insured shall be the sole arbitrator as to whether the sale or transfer of such salvage shall be prejudicial to their business.

7. SPRINKLER WARRANTY (If applicable)

It is warranted that all sprinkler installations insofar as they are under the control of the Insured be kept in proper working order and that goods will not be stacked in excess of the maximum heights for which the installations were designed. It is also warranted that the sprinkler installations are tested on a regular basis by the Automatic Sprinkler Inspection Bureau and that any recommendations made by them regarding the installations or any other matters shall be attended to within a reasonable period of time.

Subject to the observance of the warranty this policy shall not be invalidated by the failure of a water supply from circumstances outside the control of the Insured provided that the Insured notifies the Insurers of any such failure as soon as it comes to their knowledge.

SPECIFIC EXCEPTIONS TO SECTION A

This section does not cover physical loss of/or damage directly or indirectly due to or caused by or resulting from:

1. Volcanic eruption, tidal wave, subsidence, landslip, erosion, settling or cracking in structures resulting from earth movements, shrinkage or expansion of foundations, walls, floors, ceilings, sonic shock waves.
2. Shortages due to error omission or unexplained disappearance or shortage revealed at any stocktaking.
3.
 - (a) damage to that part of any property caused by lack of normal maintenance, gradual deterioration, wear, tear, rust, corrosion, oxidation, inherent vice, flaws, latent defects, humidity, moth, vermin, termites or other insects or larvae.
 - (b) Denting, scratching, chipping or cracking not affecting the operation of the property so damaged provided that this exception shall not apply to glass insured under Defined Event 10.
4.
 - (a) Shrinkage, evaporation, loss of weight, contamination, natural deterioration, change in flavour, colour, texture or putrefaction or finish.
 - (b) Faulty design or construction or workmanship or the removal or weakening of supports, latent defect, gradual deterioration, deformation or distortion.
 - (c) Failure of the public supply of electricity, gas or water resulting from any cause whatsoever.
5. Delay, confiscation or detention by Customs or other officials or authorities.
6. Consequential losses of every description.
7. Shortage of water or collapse of any boiler, super heater, economiser or similar machine or item of plant including piping and ancillary apparatus.
8. Theft by employees whether acting alone or in collusion with others or acts of fraud or dishonesty by the Insured or any of the Insured's employees or any person entrusted with the Insured's property.

Further this section does not cover -

9. Loss or damage to that part of any property which is actually being worked upon and directly resulting from the actual process of manufacture, testing, repairing, cleaning, restoring, alteration, renovation, erecting or servicing or defective materials.
10. Loss of or damage to that part of any equipment plant and machinery due to or resulting from collapse or to electrical and/or mechanical breakdown or derangement, power surge or spiking or during dismantling, re-erection, repairing, restoring, renovation, installation, removal, re-siting or testing or due to or arising out of operator error.

11. The cost of replacing or rectifying any defective materials or goods whether in the course of manufacture or due to defective workmanship, faults, defects, errors or omissions.
12. Loss or damage to property insured or insurable under a Marine, Machinery Breakdown or Contract Works policy.
13. Bad or doubtful debts.

SECTION B – BUSINESS INTERRUPTION

The Insurers agree that in the event of physical loss of/or damage by any of the perils insured under Section A 1 - 6 of this policy (loss or damage so caused being hereinafter termed damage) to any property insured or used by the Insured for the purpose of the business occurring during the period of insurance and the business carried on by the Insured be in consequence thereof interrupted or interfered with the Insurers will subject to the exceptions and conditions hereto pay to the Insured the amount of the loss resulting from such interruption or interference in accordance with the provisions herein contained.

Provided that payment has been made or liability admitted in respect of such damage under Section A 1 - 6 of this policy.

SPECIFICATION

- ITEM 1: GROSS PROFIT)
ITEM 2: ADDITIONAL INCREASE IN COST OF WORKING) As per the amount(s) stated in Section B - Schedule
ITEM 3: FINES AND PENALTIES) of limits of liability and deductibles

The Insurance under Item 1 of this section is limited to Loss of Gross Profit due to (a) REDUCTION IN TURNOVER and (b) INCREASE IN COST OF WORKING and the amount payable as indemnity there under shall be:

(a) IN RESPECT OF REDUCTION IN TURNOVER

The sum produced by applying the rate of Gross Profit to the amount by which the Turnover during the indemnity period shall in consequence of the damage fall short of the Standard Turnover

(b) IN RESPECT OF INCREASE IN COST OF WORKING

The additional expenditure (subject to the provisions of the uninsured standing charges clause) necessarily and reasonably incurred for the sole purpose of avoiding or diminishing the reduction in Turnover which but for that expenditure would have taken place during the indemnity period in consequence of the damage but not exceeding the sum produced by applying the rate of Gross Profit to the amount of the reduction thereby avoided.

Less any sums saved during the indemnity period in respect of such of the charged and expenses of the business payable out of Gross Profit as may cease or be reduced in consequence of the damage.

The Insurance under Item 2 of this section is limited to such further additional expenditure beyond that recoverable under Clause (b) of Item 1 as the Insured shall necessarily and reasonably incur during the indemnity period in consequence of the damage for the sole purpose of avoiding or diminishing the reduction in Gross Profit which but for that expenditure would have taken place during the indemnity period in consequence of the damage less any sum saved during the indemnity period in respect of such of the standing charges as may cease or be reduced in consequence of the damage.

The insurance under Item 3 of this section extends to include cancellation charges or fines or damages for breach of contract and the amount payable as indemnity there under shall be such sums as the Insured shall be legally liable to pay in discharge of contracts to purchase cancellation charges or fines or damages for breach of contract incurred in consequence of the damage in respect of (a) contracts for the purchase of goods or services which cannot be utilised by the business during the indemnity period less any value to the Insured of such goods or the amounts received for the same and (b) non-completion or late completion of orders.

DEFINITIONS

GROSS PROFIT

Note 1 : For the purpose of these definitions any adjustment implement in current cost accounting shall be disregarded.

The amount by which

- (i) The sum of the Turnover and the amounts of the closing stock and work in progress shall exceed
- (ii) The sum of the amounts of the opening stock and work in progress and the amount of the uninsured working expenses.

UNINSURED WORKING EXPENSES

- 1. All purchases less discounts received
- 2. Discounts allowed
- 3. Bad debts written off
- 4. Carriage
- 5. Packing materials
- 6. Consumable stores

Note 2 : The amounts of the opening and closing stocks and work in progress shall be arrived at in accordance with the Insured's normal accountancy methods due provision being made for depreciation.

TURNOVER

The money paid or payable to the Insured for goods sold and delivered and for services rendered in course of the business at the premises.

At the option of the Insured the term 'output' may be substituted for the term 'turnover' and for the purposes of this section 'output' shall mean the sale value of goods manufactured by the Insured in the course of the business at the premises provided that only one such meaning shall be operative in connection with any one occurrence involving damage (as within defined)

RATE OF GROSS PROFIT - The Rate of Gross Profit earned on the Turnover during the financial year immediately before the date of the damage

ANNUAL TURNOVER - The Turnover during the twelve months immediately before the date of the damage

STANDARD TURNOVER - The Turnover during the period corresponding with the indemnity period in the twelve months immediately before the date of the damage appropriately adjusted where the indemnity period exceeds twelve months

} to which such adjustments shall be made as may
} be
} necessary to provide for the trend of the business
} and for variations in or other circumstances
} affecting the business either before or after the
} damage or
} which would affect the business had the damage
} not occurred so that the figures thus adjusted
} shall
} represent as nearly as may be reasonably
} practicable the results which but for the damage
} would have been obtained during the relative
} period after the damage.

INDEMNITY PERIOD

The period beginning with the occurrence of the damage and ending not later than the number of months thereafter as stated in Section B Schedule of limits of liability and deductibles during which the results of the business shall be affected in consequence of the damage.

GROSS RENTALS

The insurance under this item is limited to

- (a) loss of gross rentals and
- (b) increase in cost of working

and the amount payable as indemnity hereunder shall be

- (a) **in respect of loss of gross rentals** the amount by which the gross rentals during the indemnity period shall in consequence of the damage fall short of the standard gross rentals.
- (b) **in respect of increase in cost of working** the additional expenditure necessarily and reasonably incurred for the sole purpose of avoiding or diminishing the loss of gross rentals which, but for that expenditure, would have taken place during the indemnity period in consequence of the damage, but not exceeding the amount of the loss of gross rentals thereby avoided

less any sum saved during the indemnity period in respect of such of the charges and expenses of the business payable out of gross profit or gross rentals as may cease or be reduced in consequence of the damage, provided that the amount payable shall be proportionately reduced if the sum insured in respect of or gross profit or gross rentals is less than the annual gross profit or gross rentals where the maximum indemnity period is 12 months or less, or the appropriate multiple of the annual gross rentals where the maximum indemnity period exceeds 12 months.

CLAUSES APPLICABLE TO SECTION B

The Extended Scope of the Premises and the Extended Scope of Damage shall always be subject to the exceptions and conditions of this policy.

1. EXTENDED SCOPE OF THE PREMISES DEFINITIONS

Damage to property at the following locations shall be deemed to be damage to property insured at the premises provided that these are stated on the schedule together with indemnity limits thereof :

- (a) at premises in respect of which the Insured have entered into a contract to have constructed or to purchase lease or tenant
- (b) at premises within a radius of 5 [Five] kilometres of the premises occupied by the Insured preventing or hindering the use thereof or access thereto
- (c) at the premises of the Insured's customers
- (d) at the premises of the Insured's suppliers.

2. **MOTOR VEHICLE CLAUSE**

The insurance by this section extends to include damage as within defined to vehicles used by the Insured in the course of the business.

3. **ACCUMULATED STOCKS CLAUSE**

In adjusting any loss account shall be taken and an equitable allowance made if any shortage in Turnover due to the damage is postponed by reason of Turnover being temporarily maintained from accumulated stocks.

4. **SALVAGE SALE CLAUSE**

If following damage giving rise to a claim under this section the Insured shall hold a salvage sale during the indemnity period Clause (a) - Gross Profit - of Item 1 of this section shall for the purpose of such claim read as follows:

- (a) **IN RESPECT OF REDUCTION IN TURNOVER** - the sum produced by applying the Rate of Gross Profit to the amount by which the Turnover during the indemnity period (less the Turnover for the period of the salvage sale) shall in consequence of the damage fall short of the Standard Turnover from which sum shall be deducted the Gross Profit actually earned during the period of the salvage sale.

5. **DEPARTMENTAL CLAUSE**

If the business be conducted in departments the independent trading results of which are ascertainable the provisions of Clauses a) and b) of Item 1 shall apply separately to each department affected by the damage except that if the sum insured by the said item be less than the aggregate of the sums produced by applying the Rate of Gross Profit for each department of the business (whether affected by the damage or not) to its relative annual turnover (or to a proportionately increased multiple thereof where the maximum indemnity period exceeds twelve months) the amount payable shall be proportionately reduced.

6. **WAIVER CLAUSE**

It shall not be a condition precedent to liability in respect of interruption or interference in consequence of destruction or damage (as within defined) that payment shall have been made or liability admitted under the insurance covering the interest of the Insured in the property at the premises against such destruction or damage if no such payment shall have been made nor liability admitted solely owing to the operation of a proviso in such insurance excluding liability for losses below a specified amount.

7. **NEW BUSINESS CLAUSE**

For the purpose of any claim arising from damage occurring before the completion of the first year's trading of the business at any of the Insured's premises the terms "Rate of Gross Profit" "Annual Turnover" and "Standard Turnover" shall bear the following meanings and not as within stated:

RATE OF GROSS PROFIT - The Rate of Gross }
Profit earned on the Turnover during the period }

to which such adjustments shall be made as
may be necessary to provide for the business

between the date of the commencement of the }
date of the damage }

ANNUAL TURNOVER - The proportional }
equivalent for a period of twelve months of the }
turnover realised during the period between the }
commencement of the business and the date of }
the damage }

STANDARD TURNOVER - The proportional
equivalent for a period equal to the indemnity
period of the Turnover realised during the
period between commencement of the business
and the date of the damage

and the trend of the business and for variations
in or special circumstances affecting the
business either before or after the damage or
which would have affected the business had the
damage not occurred so that the figures thus
adjusted shall represent as nearly as may be
reasonably practicable the results which but for
the damage would have been obtained during
the relative period after the damage

8. **PAYMENTS ON ACCOUNT CLAUSE**

Payments on account may be made to the Insured monthly during the indemnity period if desired but in no case shall such payments exceed the Insurers total liability.

9. PROFESSIONAL ACCOUNTANTS CLAUSE

Any particulars or details contained in the Insured's books of account or other business books or documents which may be required by the Insurers under General Condition 4 of this policy for the purpose of investigating or verifying any claim hereunder may be produced by Professional Accountants if at the time they are regularly acting as such for the Insured and their report shall be prima facie evidence of the particulars and details to which such report relates.

The Insurers will pay to the Insured the reasonable charges payable by the Insured to their Professional Accountants for producing such particulars or details or any other proofs information or evidence as may be required by the Insurers under the terms of General Condition 4 of this policy and reporting that such particulars or details are in accordance with the Insured's books of account or other business books or documents.

Provided that the sum of the amount payable under this clause and the amount otherwise payable under this section shall in no case exceed the total sum insured by the section.

10. PROLONGATION CLAUSE

The Insurers shall not be liable for a prolongation of the interruption period due to delay in the replacement or repair of the property destroyed or damaged where such delay results from import and/or export restrictions customs regulations currency restrictions or any other regulations imposed by any Government or Public or Local Authority.

11. ALTERNATIVE TRADING CLAUSE

If during the indemnity period goods shall be sold or services shall be rendered elsewhere than at the premises for the benefit of the business either by the Insured or by others on the Insured's behalf the money paid or payable in respect of such sales or services shall be brought into account in arriving at the Turnover during the indemnity period.

12. UNINSURED STANDING CHARGES CLAUSE

If any standing charges of the business be not insured by this policy (having been deducted in arriving at the gross profit as defined herein) then in computing the amount recoverable as increase in cost of working that proportion only of any additional expenditure shall be brought into account which the gross profit bears to the sum of the gross profit and the uninsured standing charges.

13. PREVENTION OF ACCESS

Loss as insured by this section resulting from interruption of or interference with the business in consequence of damage to property within 5 [Five] kilometre radius of premises owned or occupied by the insured which shall prevent or hinder the use thereof or access thereto whether the said premises or property of the insured therein shall be damaged or not shall be deemed to be loss resulting from damage to property used by the insured at the said premises.

SECTION C - ACCOUNTS RECEIVABLE

The cover provided by this section indemnifies the Insured in respect of loss sustained by the Insured in consequence of loss or damage to records of outstanding debtors balances and the amount payable, as indemnity there under shall not exceed:

- (a) The difference between
 - (i) the total of outstanding debtors balances at the date of the damage
 - and
 - (ii) the total of all sums in respect thereof as are actually received from customers or traced to them.
- (b) The reasonable additional expenditure incurred after the damage with the previous consent of the Insurers in tracing and establishing the said outstanding debit balances including collection costs in excess of normal collection costs and made necessary because of such loss destruction or damage.

For the purposes of this section the term "outstanding debtors balances" shall mean:

The total of the outstanding debtors balances as reflected on the Insured's statements at the end of the month preceding the damage adjusted for:

- (i) Bad debts
- (ii) Amounts debited (or invoiced but not debited) and credited (including credit notes and cash not passed through the books at the time of the damage) to customer's accounts in the period between the date to which the said statement relates and the date of the damage and any abnormal conditions of trade which had or could have had a material effect on the business so that the figures thus adjusted shall represent as nearly as reasonably practicable those which would have been obtained at the date of the damage had the damage not occurred.

SECTION D – CLAIMS PREPARATION COSTS

If an amount is reflected in the schedule of limits of liability and deductibles then this section will apply.

Claims Preparation Costs shall mean:

The costs necessary and reasonably incurred by the Insured in preparing its claim in terms of any section or sub-section of this policy. Such costs shall include but not limited to Accountants fees, costs of the Insured's own staff or costs of producing or preparing any documentation or data to substantiate any loss made by the Insured under this policy.

GENERAL EXCEPTIONS

This policy does not cover

1. Loss or damage directly or indirectly occasioned by or through or in consequence of:
 - (a) war, invasion, act of foreign enemy, or warlike operations (whether war be declared or not) civil war mutiny riot strike civil commotion military or popular uprising insurrection rebellion revolution military or usurped power martial law or state of siege or any of the events or causes which determine the proclamation or maintenance of martial law or state of siege or coup d'état;
 - (b) any act (whether on behalf of any organisation, body or person, or group of persons) calculated or directed to overthrow or influence any government de jure or de facto or any provincial or local authority with force or by means of terrorism (as defined in (h) below;
 - (c) any act which is calculated or directed to further any political aim objective or cause or in protest against any government de jure or de facto or any provincial or local authority;

- (d) an armed conflict between regions or political or ideological or religious or ethnic or tribal faction within Zimbabwe;
- (e) abandonment of property insured resulting from seizure confiscation commandeering restraint detention requisition appropriation or nationalisation by any lawfully constituted authority or by order of any government de jure or de facto;
- (f) dispossession of property insured resulting from seizure confiscation commandeering restraint detention requisition appropriation or nationalisation by any lawfully constituted authority or by order of any government de jure or de facto;
- (g) legal or illegal occupation of premises for a period of more than 48 consecutive hours by any person or group of persons;
- (h) plundering, looting or pillage
- (i) any act of terrorism committed by any body or person or any group of persons or by any government de jure or de facto. For the purposes of this exclusion an act of terrorism means an act including but not limited to the use of force or violence and/or threat thereof of any person or group(s) of persons whether acting alone or on behalf of or in connection with any organisation(s) or government(s) which from its nature or context is done for or in connection with political, ethnic, tribal, religious, ideological or similar purposes including the intention to influence the government and/or to pit the public and/or any section of the public in fear;
- (j) any attempt to perform any act referred to in clauses (a) to (h) above;
- (k) any action taken in controlling, preventing, suppressing or in any other way relating to any occurrence referred to in clauses (a) to (j) above.

In any action suit or other proceedings where the Insurers allege that by reason of the provisions of this exception any event loss destruction or damage is not covered by this policy the burden of proving that such event loss destruction or damage is covered shall be upon the Insured.

2. Any loss, cost or expense arising out of or related to, either directly or indirectly, any "Terrorist Activity," as defined herein. This exclusion applies regardless of any other cause or event that in any way contributes concurrently or in any sequence to the loss, cost or expense. For the purposes of this exclusion,

A. "Terrorist Activity" shall mean any deliberate, unlawful act that:

- (i) is declared by any authorized governmental official to be or to involve terrorism, terrorist activity or acts of terrorism; or
- (ii) includes, involves, or is associated with the use or threatened use of force, violence or harm against any person, tangible or intangible property, the environment, or any natural resources, where the act or threatened act is intended, in whole or in part, to
 - (a) promote or further any political, ideological, philosophical, racial, ethnic, social or religious cause or objective of the perpetrator or any organization, association or group affiliated with the perpetrator;
 - (b) influence, disrupt or interfere with any government related operations, activities or policies;
 - (c) intimidate, coerce or frighten the general public or any segment of the general public; or
 - (d) disrupt or interfere with a national economy or any segment of a national economy
- (iii) includes, involves, or is associated with, in whole or in part, any of the following activities, or the threat thereof:

- (a) hijacking or sabotage of any form of transportation or conveyance, including but not limited to spacecraft, satellite, aircraft, train, vessel, or motor vehicle;
- (b) hostage taking or kidnapping
- (c) the use of any biological, chemical, radioactive, or nuclear agent, material, device or weapon;
- (d) the use of any bomb, incendiary device, explosive or firearm;
- (e) the interference with or disruption of basic public or commercial services and systems, including but not limited to the following services or systems: electricity, natural gas, power, postal, communications, telecommunications, information, public transportation, water, fuel, sewer or waste disposal; the injuring or assassination of any elected or appointed government official or any government employee;
- (g) the seizure, blockage, interference with, disruption of~ or damage to any government buildings, institutions, functions, events, tangible or intangible property or other assets; or
- (h) the seizure, blockage, interference with, disruption of~ or damage to tunnels, roads, streets, highways, or other places of public transportation or conveyance.

B. Any of the activities listed in section A (3) above shall be considered Terrorist Activity except where the Insured can conclusively demonstrate to the Insurers that the foregoing activities or threats thereof were motivated solely by personal objectives of the perpetrator that are unrelated, in whole or in part, to any intention to

- (i) promote or further any political, ideological, philosophical, racial, ethnic, social or religious cause or objective of the perpetrator or any organization, association or group affiliated with the perpetrator;
- (ii) influence, disrupt or interfere with any government related operations, activities or policies;
- (iii) intimidate, coerce or frighten the general public or any segment of the general public; or
- (iv) disrupt or interfere with a national economy or any segment of a national economy.

3. Any loss or damage whatsoever or any legal liability of whatever nature -

directly or indirectly caused by or arising from or in consequence of or contributed to by nuclear weapons materials or by ionising radiations or contamination by radio-activity from any nuclear fuel or from any nuclear waste from the combustion of nuclear fuel. For the purposes of this exception only combustion shall include any self-sustaining process of nuclear fission.

4. Except as may be specifically provided herein this insurance does not cover confiscation or detention of property by any lawfully constituted authority.

5. Costs and expenses arising from loss or destruction or damage caused by pollution or contamination except destruction or damage to the property insured caused by pollution or contamination resulting from a peril hereby insured against.

6. Losses arising, directly or indirectly, out of:

(i) loss of, alteration of, or damage to

or

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(ii) a reduction in the functionality, availability or operation of

a computer system, hardware, programme, software, data, information repository, microchip,

integrated circuit or similar device in computer equipment or non-computer equipment, whether the property of the Insured or not, do not in and of themselves constitute loss of or damage unless arising out of one or more of the following perils:

fire, lightning, explosion, aircraft or vehicle impact, falling objects, windstorm, hail, tornado, cyclone, hurricane, earthquake, volcano, tsunami, flood, freeze or weight of snow.

7. (i) "Bodily Injury" or "Property Damage" which would have occurred, in whole or part, but for the actual, alleged or threatened exposure, release, discharge, transmission dissemination, migration, escape, spreading by contagion, inhalation or absorption (referred to collectively as "dissemination"), of biological and Bio-Chemical Agents and Substances, where such dissemination has been caused, used or employed, in whole or in part, by persons, groups or entities for the primary purpose of causing damage or injury to, or endangering human life, health, tangible or intangible property or infrastructure; and/or
- (ii) Any cost or expense of any kind or nature arising out of, in connection with or related to the excluded dissemination of Biological and Bio-Chemical agents and substances;

Biological and Bio Chemical Agents and Substances means and includes, without limitation, any biological or bio-chemical agent or substance, organism, micro-organism, bacterium, particle virus, pathogen, bio-aerosol, chemical, alkalis, molecules, contaminant, toxin, vapor or irritant, whether solid, semi-solid, liquid, or gaseous, the dissemination of which on or into land, water or atmosphere, can damage, injure or endanger human life, health or property.

If the Insurers allege that by reason of this exclusion, any loss, damage, cost or expense is not covered by this insurance the burden of proving the contrary shall be upon the Insured

8. All transmission and distribution lines including wires, cables, poles, pylons, standards, towers and any equipment of any type, which may be attendant to such installations, including substations of any description. This exclusion includes but is not limited to transmission or distribution of electrical power, telephone or telegraph signals, and all communication signals whether audio or visual.

This exclusion applies to above ground equipment, which are more than 150 metres (or 500 feet) from an insured structure.

This exclusion applies both to physical loss or damage to the equipment and all business interruption, consequential loss and/or other contingent losses related to transmission and distribution lines. It is understood and agreed that public utilities extension and/or suppliers extension and/or contingent business interruption coverages are not subject to this exclusion, provided that these are not part of a transmitters' or distributors' policy.

GENERAL CONDITIONS

1. ALTERATIONS

The Insured may alter the occupation or transfer processes and/or plant and machinery and make alterations to buildings insured without prejudice to this insurance provided that at the end of each insurance period particulars are declared to the Insurers and if necessary the appropriate additional premium is paid or refunded by Insurers depending upon the change in the risk insured.

2. CANCELLATION

(i) In respect of Riot, Strike and Malicious Acts

(a) This defined event may be cancelled at any time on notice to that effect being given by the Insured but no refund premium will be allowed unless the interest of the Insured in the insured property ceases.

(b) This defined event may be cancelled by the Insurers at any time on notice to that effect being given through the media and the Insured shall be deemed to have received such notice on the date of publication to be followed by the issue of a formal endorsement refunding a rateable proportion of the premium for the remainder of the period of insurance from the date of cancellation.

(ii) In all other respects

This policy or any section hereof may be terminated at any time at the request of the Insured in which case Insurers will retain the customary short period or minimum premium for the time the policy or such section has been in force. This policy or any section hereof may also be cancelled by Insurers giving thirty days notice in writing to the Insured in which case the Insurers will be liable to repay a rateable proportion of the premium for the unexpired term from the date of cancellation. In either circumstances the premium is subject to adjustment in accordance with General Condition 8 or as otherwise provided.

3. NOTICE OF CLAIMS AND PRESCRIPTION PERIOD

The Insured shall notify the Insurers as soon as possible of any event, which could give rise to a claim. If the claim arises out of any criminal act the Insured shall also advise the police as soon as such act comes to its notice. The Insured shall with due diligence do and concur in doing and permit to be done all things which may be reasonably practicable to minimise or check any interruption of or interference with the business or to avoid or diminish the loss.

No claim (other than a claim under Section B or Section C) shall be payable after the expiry of twelve months or such further time as the Insurers may in writing allow from the happening of an occurrence unless the claim is the subject of pending legal action or is a claim in respect of the Insured's legal liability to a third party.

4. PARTICULARS OF CLAIM

In the event of a claim being made under this policy the Insured shall at their own expense within thirty days of notification to Insurers (or such further time that Insurers may allow) deliver to Insurers a written statement setting forth particulars of the claim together with details of all other insurances covering the loss damage or liability or any part of it. The Insured shall furnish all such information explanations vouchers proof of ownership and of loss and such other evidence as may be reasonably required by the Insurers.

5. SUBROGATION OF CLAIMS

Any claimant under this policy shall at the request and at the expense of Insurers do and concur in doing and permit to be done all such acts and things as may be necessary or reasonably required by Insurers for the purpose of enforcing any rights and remedies or of obtaining relief or indemnity from other parties to which Insurers shall be or would become entitled or subrogated upon their paying for or making good any loss under this policy whether such acts or things shall be or become necessary or required before or after indemnification by Insurers.

6. **MISDESCRIPTION OF RISK**

This policy has been issued on the basis of the information supplied to Insurers and shall be void in the event of misrepresentation, misdescription or non-disclosure of any material particular relative to the whole policy or a particular section or sections and shall be void if such misrepresentation, misdescription or non-disclosure is relative only to that section or those sections.

7. **PRECAUTIONS**

The Insured shall take and cause to be taken all reasonable and proper precautions to prevent loss or damage and to comply with all statutory obligations and byelaws.

8. **DECLARATION CONDITIONS**

a) DAY ONE DECLARATION AND AVERAGE CONDITIONS – Applicable to Section A - Defined Events 1 - 6

Declaration Condition

The Insured shall declare to the Insurers at the inception and at the end of each period of insurance the value of the property insured which shall be based on the Insured's records and the use by the Insured of such estimates so that the value so declared shall represent the costs of replacing the property insured at the time of the declaration.

On receipt of the declaration at the end of the period of insurance the two declarations shall be compared and a premium adjustment calculated based on 50% of the difference between the declarations shall be payable.

AVERAGE

If the value declared by the Insured at the inception of the period of insurance is less than the actual costs of replacing the property insured at the said inception date the liability of the insurers during the period of insurance subsequent to such inception date shall be limited to that proportion of the amount of any loss arising which the said declared value bears to the actual cost of replacing the property insured at the inception of the period of insurance.

b) Section B – Consequential Loss

In the event of the gross profit earned (or a proportionately increased multiple thereof where the maximum indemnity period exceeds twelve months) during the accounting period of twelve months most nearly concurrent with any period of insurance as certified by the insured's Auditors being less than the sum insured thereon a pro rata return of premium not exceeding 50% of the premium paid on such sum insured for such period of insurance will be made in respect of the difference.

If any damage shall have occurred giving rise to a claim under this policy such return shall be made in respect only of so much of the said difference as is not due to such damage.

c) Section C – Accounts receivable

The Insured shall within thirty days at the end of each month deposit with the Insurers a signed statement showing the total amount outstanding in customers accounts as set out in the Insured's accounts as at the end of the said month.

On expiry of each period of insurance the actual premium shall be calculated at the appropriate rate per cent per annum on the average amount insured i.e the total of the sums declared divided by the number of declarations. If the actual premium shall be less than the first premium (or in the case of the second and subsequent periods of insurance the annual premium) the difference shall be repaid to the insured but such payment shall not exceed 50% of the first or annual premiums respectively.

If the amount of a declaration exceeds the sum insured applicable at the date of such declaration then for the purposes of this memorandum only the Insured shall be deemed to have declared such sum insured.

In consideration of the insurance not being reduced by the amount of any loss the insured shall pay the appropriate extra premium on the amount of the loss from the date thereof to the date of the expiry of the period of insurance.

9. **BREACH OF CONDITIONS**

The conditions of this policy shall apply individually to each of the risks insured and not collectively to them. Thus a breach of any condition shall void the policy only in respect of all the risks to which that breach applied and does not affect the policy in respect of other risks.

10. **ARBITRATION**

Should any difference arise between the Insurers and the Insured or claimant as to the amount of any claim under this policy the same shall be referred to arbitration in accordance with the statutory provisions for the time being in force applicable thereto and the obtaining of any award shall be a condition precedent to any right of action against the Insurers.

11. **CURRENCY**

The sums of money stated in this policy are declared to be in United States of America dollar (US\$).

12. **JURISDICTION**

Any indemnity payable herein shall not apply to judgements, which in the first instance are delivered by or obtained from any court outside Zimbabwe.

13. **FRAUD**

If any claim under this policy be in any respect fraudulent or if any fraudulent means or devices be used by the Insured or any one acting on their behalf to obtain any benefit under this policy or if any loss or damage be occasioned by the wilful act or with the connivance of the Insured all benefit under this policy shall be forfeited.